

Section : Economics

Q.1 Which of the following statements is true?
If exchange rate changes from $1 = 85$ to $1 = ₹90$

- (A) Imports will fall.
- (B) Imports will rise.
- (C) Exports will rise.
- (D) National income will rise.

Choose the correct answer from the options given below:

- 1. (A), (C) and (D) only
- 2. (A), (B) and (D) only
- 3. (A), (B), (C) and (D)
- 4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.2.

Match List-I with List-II

List-I

(A) The minimum level of profit that is needed to keep a firm in the existing business.

(B) Profit that a firm earns over and above the normal profit.

(C) $AR < AC$

(D) The point of minimum average cost at which the supply curve cuts the AC curve.

List-II

(I) Super-normal profit

(II) Loss

(III) Break even point

(IV) Normal Profit

Choose the correct answer from the options given below:

- 1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
- 2. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)
- 3. (A) - (IV), (B) - (II), (C) - (I), (D) - (III)
- 4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.3 Which of the following is true about the relationship between Total Revenue (TR) and Marginal Revenue (MR) in a perfectly competitive market?

- (A) Total Revenue will increase at a constant rate.
- (B) Marginal Revenue is more than Average Revenue.
- (C) Marginal Revenue remains constant throughout.
- (D) Marginal Revenue is equal to Average Revenue.

Choose the correct answer from the options given below:

- 1. (A), (B), (C) and (D)
- 2. (A), (B) and (D) only
- 3. (A), (C) and (D) only
- 4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.4 Value added refers to which of the following?

- 1. Production of durable goods.
- 2. Value of output - intermediate consumption.
- 3. Production of non durable goods.
- 4. Expenditure on intermediate goods.

Options 1. 1

2. 2

3. 3

4. 4

Q.5•

Match List-I with List-II

List-I

List-II

(A)

(I) Unlimited.

Macroeconomics

(B) Human wants

(II) Economics of 'what ought to be'.

(C) Normative Economics

(III) A system by which people of an area earn their living.

(D) Economy

(IV) Studies the problem of choice at the level of the country as a whole.

Choose the correct answer from the options below:

1. (A) - (IV), (B) - (III), (C) - (II), (D) - (I)

2. (A) - (IV), (B) - (III), (C) - (I), (D) - (II)

3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)

4. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)

Options 1. 1

2. 2

3. 3

4. 4

Q.6 "Government of India has recently implemented various measures (like cash transfers to senior citizens and widows)".

The government is trying to achieve the objective of..... using such measures.

1. Reallocation of resources

2. Regional equality

3. Redistribution of income

4. Economic instability

Options 1. 1

2. 2

3. 3

4. 4

Q.7 Kavish went to the supermarket with ₹5000 in his wallet to buy groceries for his family. He purchased vegetables, fruits and other household items, paying the respective prices at the counter. Which functions of money were being demonstrated in this real life scenario?

(A) Unit of Labour.

(B) Store of Value.

(C) Medium of Exchange.

(D) Measure of Creditworthiness.

Choose the correct answer from the options given below:

1. (A) and (B) only

2. (B) and (C) only

3. (A), (B), (C) and (D)

4. (B), (C) and (D) only

Options 1. 1

2. 2

3. 3

4. 4

Q.8•

Match List-I with List-II

List-I

List-II

(A) Bank Rate

(I) Securities are pledged in order to repurchase.

(B) Open Market Operations

(II) Minimum rate at which funds are provided for long term.

(C) Repo Rate

(III) Buying and selling of bonds issued by the government in open market.

List-I

(D) Reverse Repo Rate

List-II

(IV) Central bank borrows funds from commercial banks.

Choose the correct answer from the options given below:

1. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)
2. (A) - (III), (B) - (II), (C) - (I), (D) - (IV)
3. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
4. (A) - (II), (B) - (III), (C) - (I), (D) - (IV)

Options 1. 1

2. 2
3. 3
4. 4

Q.9 Identify the incorrect statement from the following about the revenue budget of the government.

1. It records all the transactions which are recurring in nature.
2. Proceeds from disinvestment are recorded under this category.
3. It has two components- revenue receipts and revenue expenditure.
4. Payment of salaries by the government departments is recorded in government budget.

Options 1. 1

2. 2
3. 3
4. 4

Q.10 In the context of perfect competition, which one of the following is not correct?

1. Firm has full control over price.
2. Horizontal straight line demand curve of the firm.
3. Freedom of entry and exit.
4. Selling costs do not exist.

Options 1. 1

2. 2
3. 3
4. 4

Q.11

Match List-I with List-II

List-I

(A) Annual financial statement

(B) Capital receipts

(C) Capital expenditure

(D) Export > Import

List-II

(I) Create liabilities or reduce financial assets.

(II) Trade surplus.

(III) Main budget document.

(IV) Create financial assets or reduce liabilities.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (III), (B) - (I), (C) - (IV), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.12 Identify the incorrect statement regarding price flooring:

1. It causes excess demand, which often leads to the problem of black marketing.
2. Price floor is the minimum price of a commodity in the market as fixed by the government.
3. Often, the government fixes this price higher than the equilibrium market price of a commodity.
4. It ensures stability of income to the producers.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.13 Identify the scenario which would lead to an increase in GDP, but might not necessarily improve overall welfare?

- 1. Reduction in income inequality.
- 2. Rapid growth of infrastructure.
- 3. Expansion of environmentally harmful industries.
- 4. Increased government investment in education and healthcare.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.14 The measurement of Balance of Payments deficit is based on.....transactions.

- 1. Accomodating
- 2. Autonomous
- 3. Current account
- 4. Capital account

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.15 Under a flexible exchange rate, when the price of domestic currency in terms of foreign currency increases is called?

- 1. Depreciation of domestic currency.
- 2. Appreciation of domestic currency.
- 3. Devaluation of domestic currency.
- 4. Revaluation of domestic currency.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.16 Mr. Kishore, an economics teacher, was explaining the concept of 'minimum percentage of total deposits to be kept by any commercial bank with the Central bank of the country, as per norms and statute prevailing in the country'.

From the following, choose the correct alternative which specifies towards the concept explained by him:

- 1. Cash Reserve Ratio
- 2. Repo Rate
- 3. Bank Rate
- 4. Statutory Liquid Ratio

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.17 At a price of 8 per unit, the quantity supplied of a commodity is 200 units. Its price elasticity of supply is 1.5. If its price rises to 10 per unit, calculate the quantity supplied at the new price?

- 1. 200 units
- 2. 275 units
- 3. 125 units
- 4. 100 units

Options 1. 1

- 2. 2
- 3. 3

Q.18 The problem of 'what to produce' relates to?

1. The choice of goods and services.
2. The distribution of income.
3. The market value of goods and services.
4. The choice of technique.

Options 1. 1

2. 2
3. 3
4. 4

Q.19 When nominal Gross Domestic Product is ₹840 corer and price index is 120, then the Real Gross Domestic Product will be.

- 1.700 crore
- 2.900 crore
- 3.800 crore
- 4.500 crore

Options 1. 1

2. 2
3. 3
4. 4

Q.20 Increase in the income of buyers (in case of inferior goods) will cause.....

1. Fall in equilibrium price and quantity.
2. Rise in equilibrium price and quantity.
3. Fall in equilibrium price and quantity to rise.
4. Rise in equilibrium price and quantity to fall.

Options 1. 1

2. 2
3. 3
4. 4

Q.21 Which of the following is not a feature of centrally planned economy?

1. Control of central authority.
2. Ownership of resources by government.
3. Consumer sovereignty.
4. Dominance over economic activity by public sector.

Options 1. 1

2. 2
3. 3
4. 4

Q.22 The Prime Minister of India, interacting with Pradhan Mantri Garib Kalyan Anna Yojana (PMGKY) beneficiaries, says that free ration has helped lakhs of poor during COVID pandemic. This is categorized as.....

1. Revenue receipts.
2. Revenue expenditure.
3. Capital receipts.
4. Capital expenditure.

Options 1. 1

2. 2
3. 3
4. 4

Q.23 Graphically, Aggregate Demand (AD) function can be obtained by vertically adding the..... and.....

1. consumption, investment
2. consumption, savings
3. investment, saving
4. aggregate supply, consumption

Options 1. 1

2. 2
3. 3
4. 4

Q.24 Chronologically, arrange the following events:

- (A) Announcement of demonetisation.
- (B) Circulation of fake currency.
- (C) Existing 500 and ₹1000 notes lost legal tender.
- (D) Visible reduction in tax evasion.

Choose the correct answer from the options given below:

1. (B), (A), (C), (D).
2. (B), (C), (A), (D)
3. (A), (C), (D), (B)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.25 The minimum assured price offered by the government to the farmers for the purchase of their output is called?

1. Ceiling price.
2. Equilibrium price.
3. Support price.
4. Market price.

Options 1. 1

2. 2
3. 3
4. 4

Q.26 Extension of supply occurs due to change in.....

1. Own price of the commodity.
2. Goal of the firm.
3. Technique of production.
4. Number of firms.

Options 1. 1

2. 2
3. 3
4. 4

Q.27 Which of the following is added in the estimation of national income?

1. Payment of an interest by an individual to a bank.
2. Bonus paid to employees.
3. National debt interest.
4. Payment of corporate tax by a firm.

Options 1. 1

2. 2
3. 3
4. 4

Q.28 Chronologically arrange the following in sequence:

- (A) Smithsonian Agreement.
- (B) Gold standard system of exchange.
- (C) Gold was replaced by creating the Special Drawing Rights (SDR).
- (D) Bretton woods conference.

Choose the correct answer from the options given below:

1. (B), (C), (A), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (B), (D), (C), (A)

Options 1. 1

2. 2
3. 3

Q.29 The range of value of investment multiplier is always between.....and.....

1. zero (0); infinity (∞)
2. one (+1); infinity (∞)
3. zero (0); one (+1)
4. minus one (-1), plus one (+1)

Options 1. 1

2. 2
3. 3
4. 4

Q.30 Chronologically, arrange the following statements in the context of shape of AP curve.

- (A) MP starts falling, the AP continues to rise as long as MP remains higher than AP.
- (B) At the first level of output, the MP and the AP are the same.
- (C) MP fall sufficiently, its value becomes less than the AP and the AP also falls.
- (D) MP rises, AP being the average of marginal products, also rises, but rises less than MP.

Choose the correct answer from the options given below:

1. (B), (D), (A), (C)
2. (B), (C), (A), (D)
3. (A), (C), (D), (B)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.31 Identify the correct statements from the following:

- (A) As long as $MP > AP$, the average Product (AP) can rise even when the Marginal Product (MP) is falling.
- (B) The law of variable proportions operates only if the factor ratio happens to change.
- (C) Total Product (TP) must increase no matter if there are increasing or decreasing returns to a factor.
- (D) Marginal Product (MP) = Average Product (AP), when AP is maximum.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (B) and (C) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.32 Match List-I with List-II

List-I

(A) Total Cost

(B) Marginal Cost

(C) Fixed Cost

(D) Short period Average Cost (AC) Curve

List-II

(I) Change in total cost when an additional unit of output is produced.

(II) Vertical summation of Average Fixed Cost (AFC) and Average Variable Cost (AVC) curves.

(III) Explicit Costs + Implicit Costs.

(IV) Does not change with increase or decrease in output.

Choose the correct answer from the options given below:

1. (A) - (III), (B) - (II), (C) - (I), (D) - (IV)
2. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
3. (A) - (III), (B) - (I), (C) - (IV), (D) - (II)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2

3. 3

4. 4

Q.33 Which of the following best defines 'Unilateral Transfers' in the context of international transactions?

1. Funds transferred internationally as loans for a specified tenure and interest rate.
2. Trade transactions involving goods and services between two countries.
3. Payments made by one party without expecting any return in the future.
4. Investments made by a country in the stock market of another country.

Options 1. 1

2. 2

3. 3

4. 4

Q.34 Suppose, following data is presented, for an imaginary economy:

Autonomous Consumption = 100 crore

Marginal Propensity to Consume = 0.6

Investment = 200 crore.

Identify which of the following is the correct value of national income?

1. 750 crore

2. 800 crore

3. 900 crore

4. 600 crore

Options 1. 1

2. 2

3. 3

4. 4

Q.35 Arrange the following steps in calculation of national income, by income method in correct sequence.

- (A) Add net factor income from abroad to arrive at national income.
- (B) Estimate the factor income paid by each sector.
- (C) Identify and classify the income generating units.
- (D) Calculating domestic factor income.

Choose the correct answer from the options given below:

1. (D), (B), (C), (A)

2. (B), (C), (D), (A)

3. (C), (A), (D), (B)

4. (C), (B), (D), (A)

Options 1. 1

2. 2

3. 3

4. 4

Q.36 Arrange the following chronologically:

- (A) Great Depression.
- (B) The Economic Consequences of the Peace.
- (C) An Enquiry into the Nature and cause of the Wealth of the Nations.
- (D) The General Theory of Employment, Interest and Money.

Choose the correct answer from the options given below:

1. (C), (B), (D), (A)

2. (A), (B), (C), (D)

3. (C), (B), (A), (D)

4. (A), (B), (D), (C)

Options 1. 1

2. 2

3. 3

4. 4

Q.37 If the central bank wants to reduce the money supply in the economy, what it may do from the following?

- (A) Increase bank rate.
(B) Reduce cash reserve ratio.
(C) Increase in Repo Rate.
(D) Buy securities in the open market.
Choose the correct answer from the options given below:
1. (A) and (C) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.38 In the Annual Budget 2025, the Government of India set up disinvestment targets of ₹80000 crore. Such proceeds from disinvestment can be classified as..... receipts in the government budget as it leads to..... of the government

1. capital, decrease in assets
2. revenue, increase in assets
3. capital, increase in liabilities
4. revenue, decrease in liabilities

Options 1. 1

2. 2
3. 3
4. 4

Q.39 When both the demand and supply curves shift to indicate an increase in demand and supply in the same proportion. Then:

1. Only equilibrium price remains unchanged.
2. Only equilibrium quantity remains unchanged.
3. Equilibrium price remains unchanged but equilibrium quantity decreases.
4. Equilibrium price remains unchanged but equilibrium quantity increases.

Options 1. 1

2. 2
3. 3
4. 4

Q.40 Which one of the following leads to the law of variable proportions?

1. One factor is constant.
2. Some factors are more efficient than others.
3. Specialisation of factors.
4. None of the factors are constant.

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the report carefully and answer the questions based on the report:

Consumer's Budget ₹ 100

Price of Good X ₹ 5 per unit

Price of Good Y ₹ 10 per unit

How much units of Good Y can the consumer consume if she spends her entire income on that good?

1. 5 units
2. 10 units
3. 15 units
4. 20 units

Options 1. 1

2. 2

3. 3

4. 4

Q.42 Read the report carefully and answer the questions based on the report:

Consumer's Budget ₹ 100

Price of Good X ₹ 5 per unit

Price of Good Y ₹ 10 per unit

On the basis of given data, the slope of the price line will be.....

1. 0.5
2. 2
3. 5
4. 10

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Read the report carefully and answer the questions based on the report:

Consumer's Budget ₹ 100

Price of Good X ₹ 5 per unit

Price of Good Y ₹ 10 per unit

How much of Good X can the consumer consume if she spends her entire income on that good?

1. 5 units
2. 10 units
3. 15 units
4. 20 units

Options 1. 1

2. 2
3. 3
4. 4

Q.44 Read the report carefully and answer the questions based on the report:

Consumer's Budget ₹ 100

Price of Good X ₹ 5 per unit

Price of Good Y ₹ 10 per unit

In a situation when $MRS_{XY} > P_X / P_Y$, the consumer would react by.

1. Decreasing the consumption of Good X.
2. Increasing the consumption of Good Y.
3. Increasing the consumption of Good X.
4. Decreasing the consumption of Good Y.

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Read the report carefully and answer the questions based on the report:

Consumer's Budget ₹ 100

Price of Good X ₹ 5 per unit

Price of Good Y ₹ 10 per unit

On the basis of given data above, the correct equation of price line will be.

1. $5X + 12Y = 100$
2. $10X + 5Y = 100$

3. $5Q_x + 10Q_y = 100$

4. $10Q_x + 5Q_y = 100$

Options 1. 1

2. 2

3. 3

4. 4

Q.46 Read the following report carefully and answer the questions on the basis of the same:

Along with the weakening of global economic activity, inflation the world over also remained muted in 2019. Inflation softened in advanced and emerging economies reflecting a slack in consumer demand. From the supply side, lower energy prices in 2019 also contributed to softening of inflation. In India, inflation rose slightly to 4.1% in April - December 2019, after a sharp decline from 5.9% in 2014 to 3.4% in 2018.

In case of an underemployment equilibrium, which of the following alternative is not true?

1. Aggregate Demand = Aggregate Supply.
2. There exist an excess production capacity in the economy.
3. Resources are not fully and efficiently utilised.
4. Resources are fully and efficiently utilised.

Options 1. 1

2. 2

3. 3

4. 4

Q.47 Read the following report carefully and answer the questions on the basis of the same:

Along with the weakening of global economic activity, inflation the world over also remained muted in 2019. Inflation softened in advanced and emerging economies reflecting a slack in consumer demand. From the supply side, lower energy prices in 2019 also contributed to softening of inflation. In India, inflation rose slightly to 4.1% in April - December 2019, after a sharp decline from 5.9% in 2014 to 3.4% in 2018.

The cause of the above situation is?

1. Increase in government expenditure.
2. Increase in imports.
3. Increase in consumption expenditure.
4. Increase in producer's investment.

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Read the following report carefully and answer the questions on the basis of the same:

Along with the weakening of global economic activity, inflation the world over also remained muted in 2019. Inflation softened in advanced and emerging economies reflecting a slack in consumer demand. From the supply side, lower energy prices in 2019 also contributed to softening of inflation. In India, inflation rose slightly to 4.1% in April - December 2019, after a sharp decline from 5.9% in 2014 to 3.4% in 2018.

The impact of the above situation under the Keynesian theory of income and employment in an economy is?

1. Decrease in income, output and employment.
2. Decrease in nominal income, but no change in real output.
3. Increase in income, output and employment.
4. No change in output or employment but increase in general price level.

Options 1. 1

2. 2

3. 3

4. 4

Q.49 Read the following report carefully and answer the questions on the basis of the same:

Along with the weakening of global economic activity, inflation the world over also remained muted in 2019. Inflation softened in advanced and emerging economies reflecting a slack in consumer demand. From the supply side, lower energy prices in 2019 also contributed to softening of inflation. In India, inflation rose slightly to 4.1% in April - December 2019, after a sharp decline from 5.9% in 2014 to 3.4% in 2018.

Which of the following does not lead to fall in Aggregate Demand?

1. Fall in private consumption expenditure.
2. Fall in exports.
3. Fall in imports.
4. Fall in government expenditure.

Options 1. 1

2. 2
3. 3
4. 4

Q.50 Read the following report carefully and answer the questions on the basis of the same:

Along with the weakening of global economic activity, inflation the world over also remained muted in 2019. Inflation softened in advanced and emerging economies reflecting a slack in consumer demand. From the supply side, lower energy prices in 2019 also contributed to softening of inflation. In India, inflation rose slightly to 4.1% in April - December 2019, after a sharp decline from 5.9% in 2014 to 3.4% in 2018.

Due to weakening of global economic activity, level of aggregate demand..... in the economy.

1. Increases
2. Decreases
3. Remains constant
4. First increases and then decreases

Options 1. 1

2. 2
3. 3
4. 4